PERKALATE / ECOMMERCE

Why Blanket Discount Codes Train Your Customers to Wait

Sitewide codes leak to coupon sites and reward people who would have bought anyway. Why it happens, and what online brands can do instead.

Most online brands reach for a discount code when sales slow down. It's fast, it looks measurable in the short term, and every ecommerce platform makes it easy. The trouble shows up later, in margin and in how your customers behave.

The code that never stays private

A code built for your email list rarely stays on your email list. Browser extensions pick it up at checkout. Coupon sites list it within days. Friends share it in group chats. Once a code is public, you're no longer running a promotion for a chosen audience. You're running a sitewide price cut with a different name.

You can see this in your own data. Look at orders that used a code and ask where those customers came from. If a large share arrived through a search for your brand name plus "coupon" or "promo code", the code is mostly being used by people who had already decided to buy.

Who actually uses a blanket discount

A discount sent to everyone tends to land in three groups:

- **Loyal customers who would have bought at full price.** They're happy to take the savings, but the code didn't change their decision. You gave away margin for nothing.
- **Deal seekers who only buy on promotion.** They respond reliably, but rarely come back at full price. Each order carries less margin, and a competitor can pull them away with a bigger number.
- **The people you actually wanted to move.** Lapsed customers, first time buyers who never placed a second order, and shoppers who fit your best customer profile but haven't tried you yet.

The third group is often the smallest share of redemptions, even though it's the reason the promotion exists.

What it teaches your customers

Run enough sitewide sales and customers learn your calendar. They add to cart and wait. They join your list only for the welcome code, then unsubscribe. Full price starts to feel like the wrong price.

That's hard to undo. Pulling back on discounts after customers expect them can feel like a price increase, even when nothing changed.

Targeting instead of broadcasting

The fix isn't to stop offering incentives. It's to decide who each incentive is for before you fund it, and to make sure only that group can use it.

A few practical moves:

1. **Name the audience first.** "Customers who bought once more than 90 days ago" is an audience. "Everyone on the list" isn't.
2. **Make offers single use or tied to an account.** A unique code per customer is much harder to leak than one shared string.
3. **Keep your full price customers out.** If someone buys from you regularly at full price, a discount is rarely what keeps them. Early access or a small thank you often does more.
4. **Set a budget and an end date.** Fund targeted offers like campaigns, with a clear cost and a clear stop.
5. **Compare against a holdout.** Leave a slice of the target audience without the offer so you can see what they would have done anyway.

Plan a pilot

Choose one audience, one reward and one result to measure. Set the budget and eligibility rules before launch. Tell participants which information you need and share results in aggregate where possible.